

Comprehensive Banking Policy Framework and Financial Terminology Reference Manual for XYZ Bank

Executive Preamble

In the contemporary financial landscape, the stability and integrity of a banking institution rely not merely on its capital adequacy but on the robustness of its governance frameworks, the transparency of its customer dealings, and the rigorous application of risk management protocols. This document serves as the definitive operational manual and policy repository for XYZ Bank, a mid-sized financial institution currently navigating a critical expansion phase into Small and Medium Enterprises (SME) lending amidst a challenging economic environment.¹

This report is structured to address the dual imperatives of regulatory compliance and strategic risk control. It integrates the directives of the Reserve Bank of India (RBI), international best practices for Anti-Money Laundering (AML), and the institution's internal standards for customer service and grievance redressal. Furthermore, responding to the need for a standardized lexicon across the bank's expanding operations, this document concludes with an exhaustive glossary of banking and finance terminology, ensuring that all stakeholders—from the board room to the branch counter—speak a unified professional language.

Chapter 1: Strategic Risk Management Framework

The volatility inherent in the current economic downturn has necessitated a recalibration of XYZ Bank's risk management strategies. With a diversified portfolio catering to retail, SMEs, and large corporate clients, the bank has recently witnessed a surge in loan defaults.¹ Consequently, the risk framework has been strengthened to adopt a dual approach of rigorous pre-sanction appraisal and relentless post-sanction monitoring.

1.1 Credit Risk Management and Mitigation

Credit risk, defined as the potential that a bank borrower or counterparty will fail to meet its obligations in accordance with agreed terms, remains the single largest source of risk for XYZ Bank.¹ The expansion into the SME sector, while profitable, introduces specific vulnerabilities that require distinct modeling and mitigation techniques.

1.1.1 The Dual Approach to Credit Control

To effectively control and monitor credit risk, particularly in the wake of rising defaults, XYZ Bank employs a "Dual Approach" strategy. This methodology bifurcates risk management into preventative and detective measures, ensuring a holistic defense against non-performing assets (NPAs).

Phase I: Pre-Sanction Appraisal and Structuring

The first line of defense is a robust appraisal mechanism. This involves a granular analysis of the borrower's financial health, industry position, and repayment capacity. For SME clients, where audited financial statements may sometimes lack the depth of corporate disclosures, the bank utilizes alternative data points and cash-flow-based lending models.² The appraisal process must evaluate the "Credit Criteria," which includes income stability, existing debt obligations, and credit history.³

Furthermore, the bank enforces strict "Loan-to-Value" (LTV) ratios and "Margin Amounts" to ensure the borrower has sufficient skin in the game. The margin amount represents the difference between the total project cost and the sanctioned loan, acting as a buffer against asset depreciation.³

Phase II: Post-Sanction Monitoring and Early Warning Systems

The second phase focuses on the lifecycle of the loan. XYZ Bank implements continuous monitoring to detect early signs of stress. This includes tracking "Special Mention Accounts" (SMA) where principal or interest is overdue for less than 90 days. The monitoring framework utilizes "Contact Point Verification" (CPV) to periodically verify the borrower's existence and operational status.³

Risk mitigation techniques such as "Securitization" and "Credit Enhancement" are also employed. By transferring a pool of assets to a Special Purpose Vehicle (SPV), the bank can manage its capital usage more efficiently, although this introduces "Bankruptcy Remote" considerations—ensuring the SPV is insulated from the originator's insolvency.³

1.1.2 SME Credit Risk Modeling

The decision to expand the loan portfolio to SMEs² requires specific modeling factors. Unlike large corporates, SMEs are highly sensitive to economic cycles and working capital fluctuations. XYZ Bank's credit risk modeling for this sector incorporates:

- **Cash Flow Volatility:** Analyzing the cyclicity of cash inflows against fixed debt service obligations.
- **Key Person Risk:** Assessing the dependence of the business on the promoter or a small group of individuals.
- **Industry-Specific Cyclicity:** For instance, an SME in the textile sector faces different risks compared to one in software services.
- **Collateral Liquidity:** Evaluating how easily pledged assets can be liquidated in a distress scenario.²

1.1.3 Sovereign and Country Risk

In its operations involving foreign counterparties, XYZ Bank must navigate "Sovereign Risk" and "Country Risk." Sovereign risk arises when a foreign government defaults on its debt obligations or interferes with the ability of domestic entities to service their external debts. This is analyzed by examining the political stability, economic policies, and external debt position of the counterparty's nation.¹

Country risk is a broader concept encompassing sovereign risk as well as the risk arising from the economic, social, and political environment of a foreign country that might adversely affect the financial interest of the bank.² This is particularly relevant for the bank's trade finance desk dealing with Letters of Credit (LCs) and Bank Guarantees (BGs) involving international jurisdictions.

1.2 Market Risk and Asset Liability Management

Market risk refers to the risk of loss arising from movements in market prices or rates, such as interest rates, foreign exchange rates, and equity prices.³ For XYZ Bank, managing the "Banking Book" and the "Trading Book" requires sophisticated tools to immunize the balance sheet against adverse movements.

1.2.1 Yield Curve Analysis

A critical tool for the bank's treasury is the analysis of the yield curve—a graph plotting yields of bonds of varying maturities. The shape of the yield curve (normal, inverted, or flat) provides vital signals about future interest rate expectations and economic activity.²

- **Normal Yield Curve:** Upward sloping, indicating that long-term rates are higher than short-term rates, suggesting economic expansion. This is the standard environment for banking profitability (borrowing short and lending long).
- **Inverted Yield Curve:** Downward sloping, often a harbinger of recession. In this scenario, the bank's net interest margin (NIM) comes under pressure.
- **Flat Yield Curve:** Suggests uncertainty in the economic outlook.

XYZ Bank utilizes "Duration" and "Convexity" measures to manage the sensitivity of its bond portfolio to yield curve shifts.³

1.2.2 Asset Liability Management (ALM)

The Asset-Liability Management Committee (ALCO) oversees the strategic management of the balance sheet. The primary objective is to manage liquidity risk (inability to meet obligations) and interest rate risk (erosion of NIM).³ ALM involves monitoring "Structural Liquidity Statements" to identify maturity mismatches between assets (loans) and liabilities (deposits).

1.3 Operational Risk Control

Operational risk is the risk of loss resulting from inadequate or failed internal processes,

people, and systems, or from external events. XYZ Bank adopts "Identification and Assessment" as its guiding principles for operational risk management.²

1.3.1 Guiding Principles of Identification and Assessment

- **Identification:** The bank must catalogue all potential operational threats inherent in its products, activities, processes, and systems. This includes identifying vulnerabilities in IT infrastructure (cyber risk), legal documentation (legal risk), and staff conduct (fraud risk).
- **Assessment:** Once identified, risks must be assessed in terms of their potential impact and probability of occurrence. This allows the bank to prioritize resources for mitigation. For example, the risk of "Phishing" attacks on customers requires high-priority assessment due to its reputational and financial impact.²

Chapter 2: Regulatory Compliance and Anti-Money Laundering

The integrity of the financial system is paramount. XYZ Bank strictly adheres to the "Know Your Customer" (KYC) and "Anti-Money Laundering" (AML) standards as prescribed by the RBI and the Prevention of Money Laundering Act (PMLA), 2002.⁵

2.1 KYC Standards and Customer Acceptance

The KYC policy is not merely a compliance exercise but a cornerstone of risk management, preventing the bank from being used for illicit activities.

2.1.1 Customer Acceptance Policy (CAP)

XYZ Bank's CAP ensures that explicitly no account is opened in an anonymous or fictitious name.⁶ The policy mandates a risk-based approach to customer classification:

- **Low Risk:** Salaried employees, government departments, and small depositors.
- **Medium Risk:** High net-worth individuals (HNIs) and firms with complex business structures.
- **High Risk:** Politically Exposed Persons (PEPs), non-face-to-face customers, and businesses in high-risk jurisdictions.⁷

The policy ensures that while due diligence is rigorous, it does not result in the denial of banking services to the general public, especially those who are financially or socially disadvantaged.⁶ This aligns with the "Financial Inclusion" mandate, where "Basic Savings Bank Deposit Accounts" (BSBDA) are offered with simplified KYC norms.⁸

2.1.2 Beneficial Ownership (BO)

A critical component of KYC is identifying the Beneficial Owner—the natural person who

ultimately owns or controls a client.

- **Corporate Clients:** The bank identifies any individual holding more than 25% of the shares or capital, or exercising control through other means.⁷
- **Trusts and Foundations:** The identification extends to the author of the trust, trustees, and beneficiaries with 10% or more interest.⁷
- **Unincorporated Bodies:** Individuals holding more than 15% of the property or capital are identified as BOs.⁷

2.1.3 Periodic Updation (Re-KYC)

KYC is a dynamic process. The bank mandates periodic updation of documents:

- **High Risk:** Every 2 years.
 - **Medium Risk:** Every 8 years.
 - **Low Risk:** Every 10 years.⁹
- Recent policy amendments allow for "Self-Declaration" via digital channels for low-risk customers where there is no change in status, enhancing customer convenience.⁹

2.2 Transaction Monitoring and Reporting

The bank employs automated systems to monitor transactions that are inconsistent with the customer's profile.

- **Suspicious Transaction Reports (STR):** Any transaction that appears to have no economic rationale or lawful purpose is reported to the Financial Intelligence Unit (FIU-IND) within 7 days of confirmation of suspicion.⁶
- **Cash Transaction Reports (CTR):** All cash transactions exceeding ₹10 lakhs (or its equivalent in foreign currency) are reported monthly.⁵

Chapter 3: Conduct and Fair Practice

XYZ Bank is committed to ethical banking. This commitment is codified in the "Fair Practices Code for Lenders" and the "Customer Rights Policy," ensuring that the asymmetry of power between the bank and the customer does not lead to exploitation.

3.1 Fair Practices Code for Lenders

This code governs the entire credit lifecycle, ensuring transparency and fairness.¹⁰

3.1.1 Loan Application and Processing

- **Transparency:** Loan application forms must comprehensively list all fees, charges, and interest rates. This allows borrowers to make a "meaningful comparison" with other banks.¹²
- **Acknowledgement:** The bank must issue an acknowledgement for every loan

application, specifying a timeframe for disposal. For small borrowers (loans up to ₹2 lakhs), the bank must convey the reason for rejection in writing to ensure accountability.¹²

3.1.2 Appraisal and Terms

- **Assessment:** The bank assesses creditworthiness based on the viability of the project and the borrower's repayment capacity, rather than relying solely on collateral (margin and security).¹¹
- **Loan Agreement:** A copy of the loan agreement, along with all enclosures and the schedule of charges, must be furnished to the borrower at the time of sanction. The bank ensures that the borrower understands the terms, including "Pre-payment options" and penalty clauses.¹²

3.1.3 Disbursement and Post-Disbursement

- **Notice of Change:** Any change in interest rates or charges must be prospective and communicated to the borrower. The bank cannot retrospectively apply higher charges.¹²
- **Release of Securities:** Upon repayment of all dues, the bank must release all securities within a stipulated timeframe, subject to any legitimate "Right of Lien" or "Set-off" for other outstanding dues.¹²
- **Recovery Ethics:** The bank strictly prohibits the use of muscle power or harassment for loan recovery. Recovery agents must adhere to a code of conduct, and the bank remains responsible for their actions.¹²

3.2 Customer Rights Policy

This policy articulates the fundamental rights of the customer in their relationship with XYZ Bank.¹³

Right	Description and Operational Implication
Right to Fair Treatment	Customers shall not be discriminated against on grounds of gender, caste, religion, or disability. The bank may, however, offer special products for specific segments (e.g., senior citizens) without this being constituted as discrimination.
Right to Transparency	All terms, conditions, and risks associated with products must be clearly disclosed. Contracts must be in plain language, avoiding obscure legal jargon that hides

	liability.
Right to Suitability	The bank must offer products appropriate to the customer's needs. Mis-selling (e.g., selling a high-risk insurance product to a risk-averse pensioner) is a violation of this right.
Right to Privacy	Customer data is confidential. It shall not be shared with third parties for marketing without explicit consent.
Right to Grievance Redress	Customers have a right to a mechanism that resolves their complaints efficiently. The bank is accountable for service deficiencies.

Chapter 4: Grievance Redressal and Dispute Resolution

Service failures are inevitable in a complex operation, but XYZ Bank's response to them defines its reputation. The "Grievance Redressal Policy" provides a structured mechanism for resolving customer dissatisfaction.¹⁴

4.1 Internal Redressal Machinery

The bank follows a tiered escalation matrix:

1. **Branch Level:** The Branch Manager is the first point of contact. A "Complaint Register" and "Complaint Box" are maintained at every branch.
2. **Regional/Zonal Level:** If unresolved, the complaint moves to the Regional Nodal Officer.
3. **Principal Nodal Officer (PNO):** Located at the Head Office, the PNO oversees the entire grievance machinery.¹⁵

Turnaround Time (TAT): The bank endeavors to resolve complaints within 30 days. Acknowledgements must be sent immediately upon receipt.¹⁶

4.2 The Internal Ombudsman (IO)

To ensure impartiality, XYZ Bank has appointed an Internal Ombudsman. Any complaint that the bank proposes to reject or resolve only partially is *mandatorily* referred to the IO before a

final decision is conveyed to the customer. This acts as an internal "supreme court" to prevent arbitrary rejection of valid grievances.¹⁴

4.3 External Recourse: The Banking Ombudsman

If the customer is not satisfied with the bank's final response or if the complaint remains unresolved for 30 days, they may approach the **Banking Ombudsman**, a quasi-judicial authority appointed by the RBI. The bank is required to display the contact details of the relevant Ombudsman in all branches and on its website.¹⁴

4.4 Complaint Analysis and Disclosure

XYZ Bank believes in transparency regarding its service quality. In its Annual Report, the bank discloses an analysis of complaints in the following format ¹⁷:

Particulars	Previous Year	Current Year
Complaints pending at beginning of year		
Complaints received during the year		
Complaints disposed during the year		
<i>Of which, complaints rejected</i>		
Complaints pending at end of year		

This disclosure serves as a tool for market discipline, forcing the bank to maintain high service standards.

Chapter 5: Terms of Service and Data Privacy

5.1 General Terms and Conditions

The relationship between XYZ Bank and its customers is contractual, governed by the "Terms

and Conditions" (T&C) accepted at the time of account opening.

5.1.1 Account Operation and Mandates

- **Joint Accounts:** Accounts may be operated as "Either or Survivor," "Jointly," or "Former or Survivor." In the event of the death of one holder in a survivor-linked account, the balance is payable to the survivor, discharging the bank of liability.¹⁸
- **Dormancy:** Accounts with no customer-induced transactions for 24 months are classified as "Dormant" or "Inoperative." To reactivate, the customer must submit fresh KYC documents. This is a fraud prevention measure.¹⁹
- **Minimum Balance:** Customers are expected to maintain an Average Monthly Balance (AMB). Failure to do so attracts penalty charges, which must be reasonable and related to the cost of providing the service.¹⁹

5.1.2 Digital Banking Terms

- **Security:** The customer is responsible for maintaining the confidentiality of their passwords and PINs. The bank is not liable for losses arising from the customer sharing these credentials.⁴
- **Service Availability:** The bank does not guarantee 100% uptime for digital channels and is not liable for losses caused by technical failures beyond its reasonable control (Force Majeure).⁴

5.1.3 Right of Set-Off and Lien

XYZ Bank reserves the general lien and right of set-off. If a customer has a deposit in one account and a default in a loan account, the bank has the right to appropriate the deposit towards the loan dues without prior consent, though notice is typically given as a fair practice.¹²

5.2 Data Privacy and Protection Policy

In the digital age, data is a valuable asset. XYZ Bank's Privacy Policy ensures compliance with data protection laws and respects customer confidentiality.²⁰

5.2.1 Collection and Use of Information

The bank collects personal information (name, address, biometrics, financial data) primarily for:

1. **Service Provision:** Processing transactions and managing accounts.
2. **Legal Compliance:** Adhering to KYC/AML norms and tax reporting (FATCA/CRS).
3. **Credit Assessment:** Evaluating loan eligibility.²⁰

5.2.2 Disclosure and Sharing

XYZ Bank does not sell customer data. Information is shared only with:

- **Credit Information Companies (CICs):** To report credit history as mandated by law.
- **Service Providers:** For outsourced activities (e.g., card printing), under strict non-disclosure agreements.
- **Regulatory Authorities:** When required by law or court order.²²

5.2.3 Data Security

The bank implements state-of-the-art encryption and access controls to protect data. In the event of a data breach, the bank has protocols to notify affected customers and regulators immediately.²³

Chapter 6: Comprehensive Financial Glossary

To facilitate clear communication within the bank and with clients, XYZ Bank maintains this definitive glossary of banking and finance terms. This section integrates all terminology identified in the bank's research repository.

A

- **Acceptance Letter:** A document signed by a borrower acknowledging and agreeing to the terms of a loan offer.³
- **Account History:** A record of the payment behavior on an account, used to evaluate creditworthiness.²⁴
- **Accretion to Equity:** The growth of a bank's equity capital derived from retaining earnings rather than distributing them as dividends. Formula: $(\text{Retained Earnings} / \text{Total Equity}) * 100$.³
- **Acquirer:** A financial institution that processes credit or debit card payments on behalf of a merchant.³
- **Ad-hoc Treasury Bills:** Short-term securities formerly issued by the Government of India to the RBI to bridge temporary liquidity gaps.²⁵
- **Adjustable-Rate Mortgage (ARM):** A home loan where the interest rate floats based on an external benchmark (like the Repo Rate), leading to variable EMIs.²⁴
- **Adverse Action:** A denial of credit or a change in terms unfavorable to the borrower, often requiring an "Adverse Action Notice" explaining the reasons.²⁴
- **Affidavit:** A written statement confirmed by oath or affirmation, often used in dispute resolution regarding fraud or forgery.²⁴
- **Aggregate Turnover:** The total value of all taxable and exempt supplies made by a taxable person, critical for GST compliance.²⁶
- **Amortization:** The process of spreading the repayment of a loan (principal and interest) over a specific timeframe in regular installments.²⁴

- **Annual Percentage Rate (APR):** The annualized cost of credit, expressed as a percentage, including interest and all associated fees.²⁴
- **Annuity:** A financial product that provides a fixed stream of payments to an individual, typically for a specified period or for life.²⁷
- **Arbitrage:** The simultaneous purchase and sale of an asset in different markets to profit from a temporary difference in price.²⁶
- **Asset Liability Management (ALM):** The practice of managing risks that arise due to mismatches between the assets and liabilities (maturity and interest rate mismatches) of the bank.²⁵
- **Attestation:** The act of witnessing a signature on a document and signing it to verify that it was properly signed by the person named.³
- **Authorized Dealer (AD):** A bank authorized by the RBI to deal in foreign exchange.²⁵
- **Automated Clearing House (ACH):** An electronic network for financial transactions, generally used for low-value, high-volume payments like payroll.²⁴

B

- **Bad Debt:** A debt that is not collectible and is often written off by the creditor as a loss.²⁶
- **Balance of Payments (BoP):** A comprehensive record of a country's economic transactions with the rest of the world, including trade, services, and capital flows.²⁸
- **Bancassurance:** A partnership between a bank and an insurance company wherein the bank sells the insurance company's products to its client base.²⁷
- **Bank Rate:** The interest rate at which the central bank (RBI) lends long-term funds to domestic banks. It influences the pricing of long-term loans.²⁸
- **Bankruptcy:** A legal status of a person or other entity that cannot repay the debts it owes to creditors.³
- **Bankruptcy Remote:** A legal structure (often an SPV) designed to insulate assets from the financial risk of the originator's bankruptcy, essential in securitization.³
- **Base Rate:** The minimum interest rate of a bank below which it cannot lend, except in allowed cases. (Now largely replaced by MCLR and EBLR).²⁸
- **Basis Point (bps):** A unit of measure for interest rates and other percentages in finance. One basis point is equal to 1/100th of 1%, or 0.01%.³
- **Beneficial Owner (BO):** The natural person who ultimately owns or controls a customer/client or on whose behalf a transaction is being conducted.⁷
- **Bill Discounting:** A form of short-term borrowing where a business sells its unpaid invoices (bills) to a bank at a discount to get immediate cash.³
- **Bridge Loan:** A short-term loan used until a person or company secures permanent financing or removes an existing obligation.²⁸

C

- **Call Money:** Money lent by banks to each other for a very short period (usually 1 day) to

meet reserve requirements.²⁸

- **Capital Adequacy Ratio (CAR):** A measure of a bank's available capital expressed as a percentage of a bank's risk-weighted credit exposures.³
- **Cash Reserve Ratio (CRR):** The share of net demand and time liabilities (deposits) that banks must maintain as cash balance with the RBI.²⁸
- **Clearing House:** An agency or separate corporation of a futures exchange responsible for settling trading accounts, clearing trades, and collecting and maintaining margin monies.²⁸
- **Collateral:** An asset that a borrower offers as a way for a lender to secure the loan.¹¹
- **Consortium Lending:** A strategy where multiple lenders join together to finance a single borrower to spread risk.¹²
- **Convexity:** A measure of the curvature in the relationship between bond prices and bond yields. It demonstrates how the duration of a bond changes as the interest rate changes.³
- **Core Banking Solution (CBS):** Networking of bank branches, which allows customers to manage their accounts and use various banking facilities from any part of the world.²⁹
- **Cost Income Ratio:** A measure of efficiency, calculated by dividing operating expenses by operating income.³
- **Credit Enhancement:** A strategy for improving the credit risk profile of a business, usually to obtain better terms for repaying debt.³
- **Credit Risk:** The risk of default on a debt that may arise from a borrower failing to make required payments.¹

D

- **Debt Recovery Tribunal (DRT):** Quasi-judicial bodies established in India to facilitate the recovery of debt due to banks and financial institutions.³⁰
- **Demand Draft (DD):** A prepaid negotiable instrument whereby the bank directs another branch or bank to pay a certain sum to the specified party.³
- **Direct Benefit Transfer (DBT):** A mechanism to transfer subsidies directly to the people through their bank accounts.²⁶
- **Dormant Account:** A banking account that has not been used for a long period (typically 24 months), leading to a temporary freeze to protect the funds.¹⁹
- **Duration:** A measure of the sensitivity of the price of a bond or other debt instrument to a change in interest rates.³

E

- **Electronic Clearing Service (ECS):** An electronic mode of funds transfer from one bank account to another, used for bulk transfers.³⁰
- **Equated Monthly Installment (EMI):** A fixed payment amount made by a borrower to a lender at a specified date each calendar month.²⁹

- **External Commercial Borrowing (ECB):** Loans in India raised by non-resident lenders in foreign currency to Indian borrowers.³⁰

F

- **Fair Practice Code:** A code of conduct that banks must adhere to in their lending operations to ensure fairness and transparency.¹⁰
- **Fiduciary:** A person or organization that acts on behalf of another person or persons, putting their clients' interest ahead of their own, with a duty to preserve good faith and trust.²⁵
- **Financial Inclusion:** The delivery of financial services at affordable costs to sections of disadvantaged and low-income segments of society.³¹
- **Fixed Deposit (FD):** A financial instrument provided by banks which provides investors a higher rate of interest than a regular savings account, until a given maturity date.¹⁹
- **Floating Rate:** An interest rate that moves up and down with the rest of the market or an index.²
- **Foreign Direct Investment (FDI):** An investment made by a firm or individual in one country into business interests located in another country.²⁸
- **Foreign Institutional Investor (FII):** An investor or investment fund registered in a country outside of the one in which it is investing.²⁸

G

- **Garnishee Order:** A legal order served on a bank (garnishee) attaching funds in a customer's account to pay a debt owed by the customer to a third party (judgment creditor).
- **Grievance Redressal:** The process of receiving and resolving complaints from customers.¹⁴
- **Gross Domestic Product (GDP):** The total monetary or market value of all the finished goods and services produced within a country's borders in a specific time period.³⁰

H

- **Hypothecation:** The practice of pledging an asset as collateral for a loan while retaining ownership of the assets and enjoying the benefits therefrom.¹⁰

I

- **Inflation:** The rate at which the general level of prices for goods and services is rising and, consequently, the purchasing power of currency is falling.²⁸
- **Initial Public Offering (IPO):** The first time that the stock of a private company is offered to the public.²⁶
- **Insolvency:** The state of being unable to pay the money owed, by a person or company,

on time.³²

- **Interest Rate Risk:** The risk that an investment's value will change due to a change in the absolute level of interest rates.³
- **Internal Ombudsman:** An independent officer within the bank who reviews complaints that the bank intends to reject, ensuring fair treatment.¹⁴

K

- **Know Your Customer (KYC):** A mandatory framework for banks to verify the identity of their clients to prevent money laundering and fraud.⁵

L

- **Letter of Credit (LC):** A letter from a bank guaranteeing that a buyer's payment to a seller will be received on time and for the correct amount.²
- **Lien:** A right to keep possession of property belonging to another person until a debt owed by that person is discharged.¹²
- **Liquidity Risk:** The risk that a bank may not be able to meet its short-term financial obligations.³
- **Loan-to-Value (LTV) Ratio:** A financial term used by lenders to express the ratio of a loan to the value of an asset purchased.³

M

- **Marginal Cost of Funds based Lending Rate (MCLR):** The minimum interest rate that a bank can lend at. It is an internal benchmark linked to the tenor of the loan.²⁶
- **Market Risk:** The possibility of an investor experiencing losses due to factors that affect the overall performance of the financial markets.³
- **Merchant Banking:** Banking services such as fundraising and corporate advisory provided to large corporations and high-net-worth individuals.³⁰
- **Micro, Small and Medium Enterprises (MSME):** A distinct category of small-scale businesses that are often the target of government support and priority sector lending.²
- **Money Laundering:** The process of concealing the origins of money obtained illegally by passing it through a complex sequence of banking transfers or commercial transactions.⁶

N

- **National Electronic Funds Transfer (NEFT):** A nation-wide payment system facilitating one-to-one funds transfer.²⁹
- **Net Interest Margin (NIM):** A measure of the difference between the interest income generated by banks and the amount of interest paid out to their lenders (depositors), relative to the amount of their interest-earning assets.³
- **Non-Performing Asset (NPA):** A loan or advance for which the principal or interest

payment remained overdue for a period of 90 days.²⁵

O

- **Ombudsman:** An official appointed to investigate individuals' complaints against maladministration, especially that of public authorities.¹⁴
- **Operational Risk:** The risk of loss resulting from inadequate or failed internal processes, people, and systems or from external events.²
- **Overdraft:** An extension of credit from a lending institution that is granted when an account reaches zero.³²

P

- **Permanent Account Number (PAN):** A unique 10-digit alphanumeric identifier issued to all judicial entities identifiable under the Indian Income Tax Act, 1961.³³
- **Phishing:** A cybercrime in which a target or targets are contacted by email, telephone or text message by someone posing as a legitimate institution to lure individuals into providing sensitive data.⁴
- **Priority Sector Lending (PSL):** A requirement for banks to lend a certain portion of their funds to specified sectors, such as agriculture and small enterprises.¹⁴
- **Provisioning:** Setting aside a portion of profits to cover expected losses from bad debts (NPAs).²⁵

R

- **Real-Time Gross Settlement (RTGS):** A funds transfer system where the transfer of money or securities takes place from one bank to another on a "real-time" and on a "gross" basis.²⁹
- **Repo Rate:** The rate at which the central bank of a country (RBI) lends money to commercial banks in the event of any shortfall of funds.²⁸
- **Reverse Repo Rate:** The rate at which the central bank borrows money from commercial banks.²⁸

S

- **Savings Account:** An interest-bearing deposit account held at a bank or other financial institution.¹⁹
- **Securitization:** The process of taking an illiquid asset, or group of assets, and through financial engineering, transforming them into a security.³
- **Set-Off:** A legal right of a bank to seize funds from a customer's account to pay a debt the customer owes the bank.¹²
- **Sovereign Risk:** The risk that a foreign central bank will alter its foreign-exchange regulations, thereby significantly reducing or nullifying the value of foreign-exchange

contracts.¹

- **Special Economic Zone (SEZ):** A dedicated zone wherein businesses enjoy tax and legal incentives to foster foreign investment and exports.²⁸
- **Statutory Liquidity Ratio (SLR):** The government term for the reserve requirement that the commercial banks in India are required to maintain in the form of gold, government approved securities before providing credit to the customers.²⁸

T

- **Tier I Capital:** The core capital of a bank, which includes equity capital and disclosed reserves.³
- **Tier II Capital:** Supplementary capital, such as undisclosed reserves, revaluation reserves, general provisions, etc..³
- **Treasury Bills:** Short-term government debt obligations backed by the treasury department with a maturity of one year or less.²⁵

U

- **Unified Payments Interface (UPI):** An instant real-time payment system developed by National Payments Corporation of India facilitating inter-bank transactions.²⁹
- **Universal Banking:** A banking system in which banks provide a wide variety of financial services, including commercial banking and investment services.

W

- **Wholesale Banking:** Banking services between merchant banks and other financial institutions.¹⁵
- **Working Capital:** The capital of a business which is used in its day-to-day trading operations, calculated as current assets minus current liabilities.²

Y

- **Yield Curve:** A line that plots the interest rates, at a set point in time, of bonds having equal credit quality but differing maturity dates.²
- **Yield to Maturity (YTM):** The total return anticipated on a bond if the bond is held until it matures.²

Z

- **Zero Balance Account:** A savings account where the account holder is not required to maintain a minimum balance.